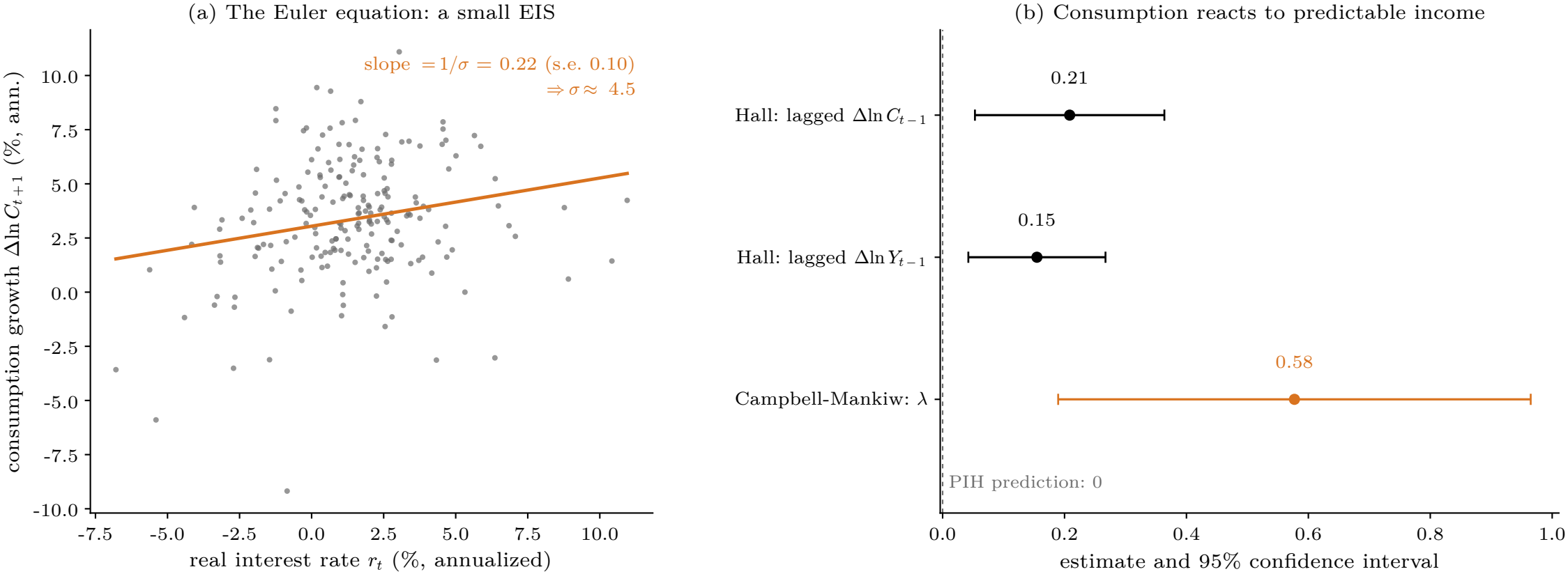

Fig. 8: US quarterly data, 1959-2009. Consumption growth barely reacts to the interest rate, and it is predictable from past income, against the pure permanent income hypothesis. The Campbell-Mankiw estimate suggests about half of 'rule-of-thumb' consumers, but its instruments are weak (first-stage F = 1.9): it should be read with caution.